

Court No. - 39

Case :- WRIT - C No. - 8168 of 2017

Petitioner :- M/S Rubi Ice Factory Thru' Its Prop. Nagina Bagum

Respondent :- Dakshinanshal Vidyut Vitarad Nigam Ltd. & Another

Counsel for Petitioner :- Kailash Nath Kesharwani

Counsel for Respondent :- Baleshwar Chaturvedi

Hon'ble Dilip Gupta,J.

Hon'ble Siddhartha Varma,J.

Sri Nripendra Mishra, learned counsel appearing for the respondents prays for and is granted a week's time to seek instruction as to whether final assessment has been done or not.

List this petition as fresh on 28 February 2017.

Order Date :- 21.2.2017

Ashish Pd.

(Dilip Gupta, J.)

(Siddhartha Varma, J.)

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Counsel for Respondent :- Baleshwar Chaturvedi

Hon'ble Dilip Gupta,J.

Hon'ble Siddhartha Varma,J.

As prayed for by learned counsel for the petitioner, place this petition as fresh on 3 March 2017.

Order Date :- 28.2.2017

vkj

(Dilip Gupta, J.)

(Siddhartha Varma, J.)

Court No. - 39

Case :- WRIT - C No. - 8168 of 2017

Petitioner :- M/S Rubi Ice Factory Thru' Its Prop. Nagina Bagum

Respondent :- Dakshinanshal Vidyut Vitarad Nigam Ltd. & Another

Counsel for Petitioner :- Kailash Nath Kesharwani

Counsel for Respondent :- Baleshwar Chaturvedi

Hon'ble Dilip Gupta,J.

Hon'ble Siddhartha Varma,J.

Counter affidavit filed today be kept on record. Learned counsel for the petitioner prays for and is granted two days time to file the rejoinder affidavit.

Place this petition as fresh on 8 March 2017.

When the petition is listed, the name of Sri Nipendra Mishra, shall also be shown as counsel for the respondents.

Order Date :- 3.3.2017

NSC

(Dilip Gupta, J.)

(Siddhartha Varma, J.)

Court No. - 39

Case :- WRIT - C No. - 8168 of 2017

Petitioner :- M/S Rubi Ice Factory Thru' Its Prop. Nagina Bagum

Respondent :- Dakshinanshal Vidyut Vitarad Nigam Ltd. & Another

Counsel for Petitioner :- Kailash Nath Kesharwani

Counsel for Respondent :- Baleshwar Chaturvedi, Nripendra Mishra

Hon'ble Dilip Gupta, J.

Hon'ble Siddhartha Varma, J.

Rejoinder affidavit filed today be kept on record.

As prayed for by learned counsel for the parties, place this petition on 9 March 2017.

Order Date :- 8.3.2017

NSC

(Dilip Gupta, J.)

(Siddhartha Varma, J.)

Court No. - 39

Case :- WRIT - C No. - 8168 of 2017

Petitioner :- M/S Rubi Ice Factory Thru' Its Prop. Nagina Bagum

Respondent :- Dakshinanshal Vidyut Vitarad Nigam Ltd. & Another

Counsel for Petitioner :- Kailash Nath Kesharwani

Counsel for Respondent :- Baleshwar Chaturvedi, Nripendra Mishra

Hon'ble Dilip Gupta, J.

Hon'ble Siddhartha Varma, J.

This petition seeks the quashing of the demand notice dated 30 December 2016 as well as the provisional assessment and the final assessment made by the respondent-Power Corporation.

It is stated that the officers of the respondents-Power Corporation inspected the premises of the petitioner on 9 April 2016 and also lodged a First Information Report was for theft of electricity.

The petitioner seeks to challenge the final assessment on the ground that if an FIR is lodged under Section 135 of the Electricity Supply Act, 2003¹ then the procedure as contemplated under the said section and Clause 8 of the Electricity Supply Code, 2005² has to be followed for assessment and the provisions of Section 126 of the Act and the procedure contemplated under Clause 6.8 of the Code would not be applicable.

Sri Nripendra Mishra, learned counsel appearing for the respondents has, however, submitted that provisional assessment can be carried out only under the provisions of

¹ the Act

² Code

Section 126 of the Act and, therefore, the petitioner has a remedy of filing an appeal under Section 127 of the Act. In support of this, learned counsel has placed reliance upon a Division Bench judgment of this Court in **Sandeep Kesarwani Vs. State of U.P. and others**³.

We have considered the submission advanced by the learned counsel for the parties.

In order to appreciate the contention advanced by learned counsel for the parties, it would be appropriate to reproduce the relevant portion of Sections 126, 127 and 135 of the Act and they are as follows:-

"126. Assessment.- (1) If on an inspection of any place or premises or after inspection of the equipments, gadgets, machines, devices found connected or used, or after inspection of records maintained by any person, the assessing officer comes to the conclusion that such person is indulging in unauthorized use of electricity, he shall provisionally assess to the best of his judgement the electricity charges payable by such person or by any other person benefited by such use.

(2) The order of provisional assessment shall be served upon the person in occupation or possession or in charge of the place or premises in such manner as may be prescribed.

(3) The person, on whom an order has been served under sub- section (2) shall be entitled to file objections, if any, against the provisional assessment before the assessing officer, who shall,

3 2014(2) ADJ 442

after affording a reasonable opportunity of hearing to such person, pass a final order of assessment within thirty days from the date of service of such order of provisional assessment of the electricity charges payable by such person."

"127. Appeal to appellate authority.-(1) Any person aggrieved by the final order made under Section 126 may, within thirty days of the said order, prefer an appeal in such form, verified in such manner and be accompanied by such fee as may be specified by the State Commission, to an appellate authority as may be prescribed."

"135.Theft of Electricity.- 1[(1) Whoever, dishonestly, -

(a) taps, makes or causes to be made any connection with overhead, underground or under water lines or cables, or service wires, or service facilities of a licensee or supplier as the case may be; or

(b) tampers a meter, installs or uses a tampered meter, current reversing transformer, loop connection or any other device or method which interferes with accurate or proper registration, calibration or metering of electric current or otherwise results in a manner whereby electricity is stolen or wasted; or

(c) damages or destroys an electric meter, apparatus, equipment, or wire or causes or allows any of them to be so damaged or destroyed as to interfere with the proper or accurate metering of electricity; or

(d) uses electricity through a tampered meter; or

(e) uses electricity for the purpose other than for which the usage of electricity was authorised,

so as to abstract or consume or use electricity shall be punishable with imprisonment for a term which may extend to three years or with fine or with both.”

The Division Bench in **Sandeep Kesarwani** framed three issues and two issues which are relevant for resolving the controversy involved in this petition are as follows:-

"(1) Whether in the cases where theft of electricity is alleged under Section 135 of the Act, 2003, and trial for an offence under Section 135 of the Act, 2003 is pending before the Special Court, an assessment under section 126 of the Act, 2003 can be made by the Executive Engineer.

(2) Whether assessment under Section 126 of the Act, 2003 is not applicable with regard to the cases of theft of electricity under Section 135 of the Act, 2003, and with regard to cases of theft of electricity under Section 135 of the Act, 2003, the civil liability is to be determined only by the Special Court where the trial is pending."

The Division Bench after dealing with provisions contained in Section 126 and 135 of the Act in Chapter-VIII of the Code observed as follows:-

"All instances detailed in Section 135(1) of the Act, 2003 are instances of "unauthorised use of electricity" as

defined in explanation (b) of Section 126 of the Act, 2003. The unauthorised use of electricity is genus of which the instances detailed in Section 135(1) of the Act, 2003 are species. Theft of electricity is unauthorised use of electricity done "dishonestly" hence the assessment under Section 126 of the Act, 2003 has to follow whenever unauthorised use of electricity is made by a person or a consumer. The said unauthorised use of electricity becomes theft when coupled with dishonest intention which invites imprisonment. Section 126 of the Act, 2003 does not indicate that assessment shall not be made if the unauthorised use of electricity becomes a theft. Section 135 of the Act, 2003 also does not give any indication that assessment under Section 126 of the Act, 2003 is not to be undertaken, if there is a theft of electricity."

"Code, 2005 thus clearly provides that even in the cases of theft of electricity under Section 135, of the Act, 2003, the Authorised Officer has to serve a provisional assessment bill and thereafter finalise the assessment. Thus, the provision of the Code, 2005, clearly indicates that for a theft of electricity under Section 135 of the Act, 2003 assessment has to be made under Section 126 of the Act, 2003."

The two issues were, therefore, answered by the Division Bench in the following manner:-

"In view of the foregoing discussions, we are of the view that the submission of the learned counsel for the petitioner that since F.I.R. has been lodged under Section 135 of the Act, 2003 against the petitioner and the case is proceeding for trial before the Special Court, no assessment proceedings could have been undertaken under

Section 126 of the Act, 2003 cannot be accepted and both the above issues are answered as follows:

(1) Assessment under Section 126 of the Act, 2003 is to be made even in a case where an offence under Section 135 has been made and is pending for trial before the Special Court.

(2) In the case involving theft of electricity, assessment has to be made under Section 126 of the Act, 2003 by the Authorised Officer. The Special Court trying an offence is to finally determine the civil liability and after determination of civil liability further action is to be taken in accordance with Section 154(6) of the Act, 2003."

It is clear from the aforesaid judgment of the Division Bench in Sandeep Kesarwani that even in a case a first information report has been lodged under Section 135 of the Act. Assessment has to be carried out under Section 126 of the Act and that the Special Court trying an offence is to finally determine the liability and after determination of civil liability for further action to be taken in accordance with the provisions of section 154(6) of the Act.

In this view of the matter, it is not possible for the Court to accept the contention of learned counsel for the petitioner that Section 126 of the Act would not be applicable proceedings initiated are under Section 135 of the Act. As noted above, assessment can be carried out only under Section 126 of the Act.

The next issue that arises for consideration is whether the Court should entertain this petition when a statutory alternative remedy is available to the petitioner by filing an appeal under Section 127 of the Act.

The Supreme Court examined this issue in **Executive Engineer, Southern Electricity Supply Company of Orissa Ltd. (SOUTHCO) and another Vs. Sri Seetaram Rice Mill, 2012(2) SCC 108** and observed that the High Court should normally decline to interfere with the final order of the assessment passed by the Assessing Officer in terms of Section 126(3) of the Act in exercise of jurisdiction under Article 226 of the Constitution of India. Such being the position, when the petitioner has a statutory alternative remedy available under Section 127 of the Code, it will not be appropriate for the Court to entertain this petition.

The writ petition, is accordingly, dismissed.

Order Date :- 9.3.2017/vkj

(Dilip Gupta, J.)

(Siddhartha Varma, J.)